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School of Business & Economics

WATERLOO | Brantford | Kitchener | Toronto

Group Project – Strategic and Financial Analysis

This assignment is marked out of 20 marks. Assume 2-4 pages for background, 1-2 pages per metric (includes graphs/charts of comparative data), 1-2 pages for conclusion. Include a title page and references and appendices as necessary (these are not included in total page count). Spacing and font size – make it legible, leave white space between sections and paragraphs, no less than 11pt font. Use headers and charts.

The group project is to be completed in groups of 2 - 6 students. Please submit one pdf containing your completed assignment to the **MyLS dropbox by the due date. Make sure all group members' names are on the cover page.**

Using the Supplemental Information Packages for Intact Insurance and Definity Financial (formerly Economical Insurance), along with any additional research (Annual Reports, analyst opinions, news articles, etc) prepare a strategic and financial assessment of the two insurers by analyzing and discussing the following:

Background (5 marks)

a) Provide a short background on each company: where they operate, significant **Canadian** lines of business, most recent stock price, market share, and note key differences between the two companies from a market size, operational, and structure perspective

b) Note any recent changes (e.g. acquisitions, demutualizations, acquisitions, sales, accounting changes, etc) and what impact this had (e.g. access to capital markets, increase in market share, additional products)

c) Do a brief strategic assessment of the industry (PESTEL and/or Porter 5 Forces analysis – for the industry) and a SWOT for each of Definity and Intact (Total Company)

Metrics and Ratios (5 marks)

Prepare graphs that show Intact and Definity's 2023, 2024 and 2025 IFRS 17 results (in the same graph) for each of the following metrics (**focus only on Canadian business**):

a) Gross Written Premium (Definity), Operating DPW (Intact) – break out Canadian Personal Property and Canadian Personal Auto for each insurer).

b) Compare Net Underwriting Revenue (Definity) and Operating Net Underwriting Revenue (Intact) between the two companies

c) Underwriting income – make sure to look at total and by line of business for each insurer

d) Investment income (be sure to discuss any differences in investment portfolio mix, size. Intact – have to look at total as there is not information on Canada)

e) ROE (Intact will only have a total ROE, not a Canadian one, so use Intact's total ROE)

f) MCT

g) Policies in force (break out Canadian Personal Property and Personal Auto for each insurer)

h) Claims ratio (break out Canadian Personal Property and Personal Auto for each insurer)

i) Expense ratio (break out Canadian Personal Property and Personal Auto for each insurer)

j) Combined ratio (break out Canadian Personal Property and Personal Auto for each insurer)

k) Prior year (favourable)/unfavourable or adverse development – this is PYD (break out Canadian Personal

Property and Personal Auto for each insurer)

FOR EACH METRIC, EXPLAIN of what is driving the trend with each insurer and what is driving the difference between the insurers, which insurer is in a better position.

Conclusion (5 marks)

Which company has the greatest strategic and financial advantage – which one will grow/succeed the most in the Canadian market? Support your conclusion by drawing on the background, strategic analysis and financial metrics/ ratios you analyzed. Are there any other indicators of strength, strategic advantage, customer sentiment, demographics, trends that further support your perspective? Use all course material and other research.